Assignment 7

A new machine costs $120,000, which has an estimated useful life of five years and an estimated salvage value of $15,000 at the end of that time. It is expected that the machine can produce 210,000 widgets during its useful life. Annual production of widgets has been 80,000 and 50,000 units for the first two years, respectively.

A Company purchases this machine on January 1, 2013, and uses it for exactly three years. During these years the annual production of widgets has been 80,000, 50,000, and 30,000 units, respectively. On January 1, 2016, the machine is sold for $45,000 in cash.

Required:

1. **Calculate the depreciation expense for each of <u>the first two years</u> using:**

a. Straight-line Method

b. Units-of-production Method

c. Double-declining-balance Method

(Hint: you can prepare a depreciation schedule to help you)

2. Prepare journal entry to recognize depreciation expense under each method for the first two years, respectively.

3. Prepare the proper journal entry for the sale of the machine under the three different depreciation methods.